

reorganization, merger, or the like.

Liquidations: Purchase of shares which were to receive one or more cash payments in liquidation of the company's assets.

Operations of these two classes were selected on the twin basis of (a) a calculated annual return of 20% or more, and (b) our judgment that the chance of a successful outcome was at least four out of five.

Related Hedges: The purchase of convertible bonds or convertible preferred shares, and the simultaneous sale of the common stock into which they were exchangeable. The position was established at close to a parity basis—i.e., at a small maximum loss if the senior issue had actually to be converted and the operation closed out in that way. But a profit would be made if the common stock fell considerably more than the senior issue, and the position closed out in the market.

Net-Current-Asset (or "Bargain") Issues: The idea here was to acquire as many issues as possible at a cost for each of less than their book value in terms of net-current-assets alone—i.e., giving no value to the plant account and other assets. Our purchases were made typically at two-thirds or less of such stripped-down asset value. In most years we carried a wide diversification here—at least 100 different issues.

We should add that from time to time we had some large-scale acquisitions of the control type, but these are not relevant to the present discussion.

We kept close track of the results shown by each class of operation. In consequence of these follow-ups we discontinued two broader fields, which were found not to have shown satisfactory overall results. The first was the purchase of apparently attractive issues—based on our general analysis—which were not obtainable at less than their working-capital value alone. The second were "unrelated" hedging operations, in which the purchased security was not exchangeable for the common shares sold. (Such operations correspond roughly to those recently embarked on by the new group of "hedge funds" in the investment-company field.* In both cases a study of the results realized by us over a period of ten years or more led us to conclude that the profits were not sufficiently dependable—and the operations not sufficiently "headache proof"—to justify our continuing them.

Hence from 1939 on our operations were limited to "selfliquidating" situations, related hedges, working-capital bargains, and a few control